



October 7, 2026

Dear Investors,

Welcome to the last quarter of 2026, with the U.S. Federal Reserve recently increasing interest rates by 25 basis points, bringing the federal funds rate target range to 3.75%-4.00%. Although the smallest increase, the signal of directionality of interest rate moves to the market is profound. The consensus of the market changed in June when the Fed updated its interest rate median projection to reflect a 25-bps hike and now the Fed is signaling an additional hike before the end of the year. The Federal Reserve's preferred inflation metric, the PCE Price Index, is currently running at 3.4%, sitting far above the 2% target that anchors price stability. Mortgages, loans, and any interest-related liability just got more expensive to finance. Although it is a small raise, it signals to market participants that the years of cheap money are over and that the Federal Reserve is serious about tackling inflation that has persistently run above 2%.

For bond investors, it could feel like the U.S. government just got away with refinancing trillions of dollars of debt at a rate that certainly does not reward investors after factoring in inflation. With the Federal Reserve increasing overnight rates, the U.S. Treasury Department uses that baseline rate to issue and price longer-term Treasury bills, notes, and bonds. Think of it from the point of view of the U.S. Treasury Department, which owes \$40 trillion to creditors. It can issue debt in its own fiat unit and settle those obligations by expanding the money supply, but pay back lenders a decade later with dollars stripped of their true purchasing power. Creditors have traditionally accepted Treasuries as collateral because the market trusts the central bank to defend purchasing power, and anything that shakes that foundational trust should be carefully monitored. The recent rise in 10-year Treasury yields above 5% is a clear indication that investor confidence is being eroded by persistent inflation and the increasingly large debt obligations of the U.S. Government.

Another headwind for bond investors to consider is if you are a taxable entity, don't forget about the taxman taking his share of that interest income, which might put you in a negative real rate of return position. The bad news keeps coming for bond investors, in a rising interest rate environment, bond prices fall, as prices and yields move inversely. Many bond holders will be watching red ink on their account statements and less than happy that the "safe" part of the portfolio is generating a real negative rate of return.

"They are among the most dangerous of assets. Over the past century these instruments have destroyed the purchasing power of investors in many countries, even as the holders continued to receive timely payments of interest and principal..."

Warren Buffett – Former CEO of Berkshire Hathaway

Being mindful of the risk-reward dynamics of duration risk from fixed coupon bonds, [Standard Wealth](#) has elected to generate meaningful yield in the portfolio through listed private credit funds. As these loans are priced off of the Secured Overnight Financing Rate (SOFR), our clients take minimal interest-rate duration risk and capture a spread from borrowers of +500 bps. Double digit yields are not uncommon and as these securities are sensitive to market sentiment, listed private credit funds can trade at significant discounts to Net Asset Values (NAV), which is what we are experiencing in the market right now. Our thesis is to buy a diversified loan portfolio, yielding 10% at \$0.80 on the dollar, while taking minimal duration risk. We believe this will complement our Standard Wealth portfolio appropriately, in comparison to fixed income bonds that face duration risk.

Standard Wealth's optionality to avoid long duration fixed income and instead access floating-rate private debt, allowed the portfolio to generate meaningful yield, while generating regular monthly distributions. Combined with our discipline of maintaining our long-term equity exposure, investors have seen positive results with our companies accessing bond markets inexpensively and passing inflationary pressures onto customers. Embedded competitive advantages through regulation or scale have tilted the playing field in the favour of our Standard Wealth companies, and we expect this trend to continue.

The endless stream of chatter from the 24-hour talking heads at BNN and Bloomberg has offered interesting investor sentiment viewpoints with respect to the equity markets. We do not claim to know what will happen to stock prices in

the short term, but over the medium-to-long term, we see positive factors at work. According to FactSet, calendar year 2026 earnings growth for the S&P 500 is estimated at 29.0% and the Price to Earnings (P/E) multiple contracting from 23.1x in November of 2025 to 20.1x as of the end of Q3 2026. This tells investors that corporate performance continues to generate higher profits for shareholders while investors are effectively paying less per dollar of earnings. Shareholders are benefiting in a couple of ways and as a value investor, it is critically important to understand that the margin of safety for investing today is expanding, as higher share prices are being driven by even stronger earnings from companies in the S&P 500. As long as earnings growth outpaces price appreciation, our margin of safety for investing in the long term is increasing. Financial juggernaut Goldman Sachs forecasts S&P 500 earnings per share climbing to \$460 in 2028. According to FactSet, we expect the lion's share of earnings growth to continue in the Information Technology sector, which is set to grow Q3 earnings by 63.3% year-over-year (YoY), while the Semiconductors & Semiconductor Equipment industry grows at 126%.

Within the Standard Wealth portfolio, we have enjoyed significant price appreciation from companies such as Cenovus Energy, up 85% year-to-date (YTD) and Whitecap Resources, up 53% YTD. This strong price appreciation was driven from management's execution by growing earnings YoY at Cenovus of 237% and at Whitecap 121%. No wonder investors are enthusiastically bidding up their respective shares! Finning International was not far behind in share price appreciation of 47% YTD but lagged the explosive earnings growth of our energy portfolio companies with just a 20% increase in earnings YoY.

One of the few detractors for Standard Wealth this year was Blackstone, where the total return of the stock is down 23% YTD. Private credit angst in the market has severely hurt investor sentiment, even though Fee Related Earnings (FRE) has grown +10% YoY. We see this divergence between Blackstone's fee-based revenue increasing and market sentiment deteriorating as a buying opportunity in a blue-chip alternative asset manager. Management continues to fundraise at a furious pace, bringing in fresh capital to be deployed of \$262.5 billion over the last twelve months. We believe market sentiment will improve once private credit fears dissipate through continued performance of their private credit portfolio. To put the private credit allocation in context on the whole of Blackstone, private credit operations account for around 35% of assets under management. Of course, private credit is sizable to the overall health and results of Blackstone but our research indicates that the private credit market is here to stay and well positioned to serve borrowers and investors alike.

We are advising our investors to understand why Artificial Intelligence is dominating the headlines as the largest hyperscalers continue to build out their datacenter networks. These investments are so large that hyperscalers are competing directly with the U.S. government for capital by issuing bonds at just slightly higher rates than the risk-free rate offered by the U.S. Government. Look no further than Alphabet, which issued a 100-year Sterling bond in February, paying coupon payments of 6.125% with the principal due in 2126. Medium term rates were even better, as Alphabet issued debt due in 2038 at a yield of 3.50%. For Standard Wealth clients, as Alphabet is a core holding in our US Equity bucket, we are thrilled the corporation is able to obtain fixed rate debt financing at such attractive yields. Rates have since risen and any investors who bought these bonds at par during this initial issue are facing losses, with the historic hundred-year bond issued by Alphabet trading at 88-89, leaving an investor quickly down 11-12% on their principal. Yikes, that is a bad risk-reward trade off!

"When interest rates go up, the value of existing bonds goes down, and when interest rates go down, the value of existing bonds goes up. It is a simple law of financial gravity."

Peter Lynch – Former Portfolio Manager of the Magellan Fund

With corporate entities able to borrow capital at such attractive rates, and management teams able to deploy retained earnings and debt capital into positive rates of return, investors have not batted an eye when allocating toward equity markets. War, energy disruptions and reckless fiscal spending from governments globally have barely caused any concern from investors with major equity indices trading near all-time highs. The status quo is powerful and those who are in power want this paradigm to continue.

"I do believe that America is what makes the world safe and secure for democracy... Fighting a war is very expensive. Losing a war is the most expensive."

Jamie Dimon – CEO of JPMorgan

Understanding how these geopolitical and macroeconomic forces will shape markets going forward is what intrigues us at Standard Wealth. Our total portfolio approach and value investing philosophy combines North American equities, credit income to generate yield and liquid alternative ETFs as portfolio ballasts, forming a single ticket solution for allocators and investors.

We think of our clients as true partners, and we share a couple of unique traits that separate us from the rest. First, our performance aligned fee structure ensures we only earn a fee when we produce a positive rate of return for our clients. Secondly, I personally have the majority of my own liquid net worth allocated to Standard Wealth, creating strong alignment between Portfolio Manager and investors.

"I like the discipline of backing my own judgments with my own money. It suits my temperament better"

Charlie Munger – Vice Chairman of Berkshire Hathaway

With stock markets near all-time highs, we continue to be patient in deploying capital into equities. We are evaluating the behavior of U.S.-dollar-denominated commodities, as we expect continued currency debasement and, in turn, price appreciation in commodities denominated in USD. Gold purchases by central banks globally are a trend we expect to continue, which should set a solid floor price for gold going forward. We will continue to evaluate commodity markets to see if a buying opportunity appears in the coming quarters. One thing is certain: we will not allocate capital to U.S. Treasuries or long duration, fixed-rate bonds because the risk reward tradeoff is not tilted toward investors. The setup currently favours borrowers by quite a wide margin.

For family offices, endowments, and foundations whose portfolios are failing to deliver satisfactory real returns in this persistent inflationary environment, Standard Wealth may present a compelling alternative. We believe our 0% management fee (performance-based) aligns with our clients' best interests. The fact that the majority of my own liquid net worth is invested right alongside yours, should give you comfort that we are watching the portfolio like a hawk. This alignment, paired with our proven track record of delivering +14.8% YTD, a +20.5% 1-year trailing return, and an annualized +15.9% return since inception, demonstrates the power of our total portfolio approach. The portfolio has a reasonable P/E ratio of 15.6 and dividend yield of 3.1%. If your organization is ready for a manager who truly eats their own cooking while outperforming market benchmarks, we look forward to connecting.

All the best to investors as we look to finish the last quarter of the year on a high note.

Fred Mannix

Fund Performance NET

1 Year Return 20.5%, Net Dividend Yield 3.1% and P/E of 15.6

2020*	8.9%
2021	31.5%
2022	-10.4%
2023	18.6%
2024	26.0%
2025	20.3%
2026 YTD	14.8%
1 Yr	20.5%
3 Yr	21.6%
5 Yr	14.8%
Since Inception	15.9%

* Inception Date: Feb 29, 2020

- all returns are net of fees

- returns for periods greater than 1 year are annualized

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